



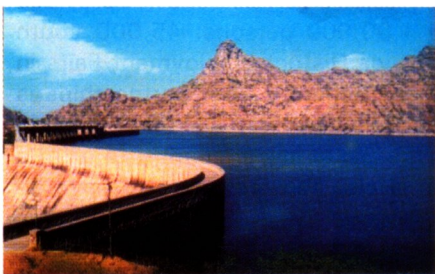
SOUND FINANCIAL MANAGEMENT

Against an inherited deficit of 30 per cent in 2002-03, Rajasthan became revenue surplus in 2006-07. Vasundhara Raje government has not even once taken an overdraft since February 2004. All Fiscal Responsibility and Budget Management (FRBM) targets have been met. By controlling revenue and fiscal deficit for the last three financial years, the state has been granted debt waiver of Rs.309 crores. A sound growth in revenue receipts, VAT, rationalization of taxation, increase in the taxation net and a strict control of tax leakages have all contributed to Rajasthan's new financial health. The state is already moving towards e-payments and e-returns. Public investment and Plan expenditure has trebled from Rs.4,400 crores in 2002-03 to Rs.13,000 crores in 2007-08.



HUMAN RESOURCE DEVELOPMENT

To make Rajasthan's youth employable, training of college teachers and under-graduates in modern communication skills, vocabulary and diction has been initiated. To boost Business Process Outsourcing (BPO) industry in the state and the first state to do so, an assessment of soft skills has already been started with the NASSCOM Assessment of Competence (NAC) project, where 2,500 candidates took the first test, held in November 2006. The state plans to invest over Rs.25 crores in next 18 months to create a new generation of computer-friendly Rajasthan citizens. IBM, CISCO, NIIT and Microsoft are partners in this initiative.



The realization that development had come to a standstill both in terms of physical and social infrastructure, a vision for governance was immediately formulated. It visualized six ideals: food security, gainful employment, economic infrastructure, human resource development, fiscal management and caring for the disadvantaged. Between then and now, all policy inputs have followed these key ideals of the vision document. And it has been realized that unless physical infrastructure is improved rapidly and adequate social infrastructure is created, Rajasthan will not be able to leverage its strength and attract private investment. It has proved to be a challenging journey, marked by invigorating milestones that history will acknowledge with pride.



Smt. Vasundhara Raje
 Chief Minister, Rajasthan